

Provided that a railway servant may give to, or accept from, a relative or a personal friend, a purely temporary loan of a small amount free of interest, or operate a credit account with a bonafide tradesman or make an advance or pay to his private employee.

Provided further that nothing in this sub-rule shall apply in respect of any transaction entered into by a railway servant with the previous sanction of the Government.

(ii) When a railway servant is appointed or transferred to a post of such nature as would involve him in the breach of any of the provisions of sub-rule (2) or sub-rule (4), he shall forthwith report the circumstances to the competent authority and shall thereafter act in accordance with such order as may be made by such authority.

Railway Ministry's decision. —Loan taken from LIC by the Railway servant against their Insurance policies will be covered by the exception provided in the above rule and permission of the Government will not be necessary.

(E (D&A) 68 GSI/21 dt. 21-11-1968.)

17. Insolvency and Habitual indebtedness. --- (1) A railway servant shall so manage his private affairs as to avoid habitual indebtedness or insolvency. A railway servant against whom any legal proceeding is instituted for the recovery of any debt due from him or for adjudging him as an insolvent shall forthwith report the full facts of the legal proceeding to the Government.

Note.---- The burden of proving that the insolvency or indebtedness was the result of circumstances which, with the exercise of ordinary diligence, the railway servant could not have foreseen, or over which he had no control and had not proceeded from extravagant or dissipated habits, shall be upon the railway servant.

(2) The following procedure shall be followed in the case of non-gazetted railway servants: -

(i) The report required under sub-rule (1) above shall be submitted by the railway servant to his immediate superior who should forward it through the normal channel to the authority competent to remove or dismiss the employee from service. Except where such authority requires guidance or clarification from a higher authority, it shall consider and pass appropriate orders thereon. A railway servant desiring to seek the benefit of the Insolvency Act shall apply to the Head of his Department, or to such authority as the government may specify in this behalf, for permission to file a Schedule in a Court of Law. Same time, he shall explain in such form as the Government may prescribe in this behalf all the circumstances which led to his financial embarrassment. The said authority will then consider his case in the light of those circumstances.

If the railway servant can prove that the indebtedness was the result of circumstances, which, with the exercise of ordinary diligence, he could not have foreseen or over which he had no control, and did not proceed from extravagant or dissipated habits and if as the result of investigation, the said authority considers that sufficient justification exists for the retention of the employee in service, he may permit him to have recourse to the court.

Otherwise he should take steps either to dismiss or remove the employee from service as the circumstances of the case may warrant . If a railway servant asks for permission to seek the benefit of the Insolvency Act for second time such permission may not be granted by an authority lower than the General Manager or Head of Office who, if he decides to retain the employee in service, shall report the circumstances to the Railway Board for information. As the Railway Co-operative Credit is often the creditor in such a case and other railway servants are sureties for the debtor, the said authority will, in deciding whether or not the debtor should be retained in railway service, consider the effect of this dismissal or removal on the railway and on his fellow employees.

1. No. E (D&A) 58 GSI-6 dt. 15-3-58 and 27-6-66.
2. No. E (D&A) 60 GSI-5 dt. 7-6-60..
3. No. E(D&A) 60 GSI-5 dt. 30-1-61.
4. No. E(D&A) 64 GSI-6 dt. 25-2-65.
5. No. E(D&A) 69 GSI-14 dt. 14-8-69.
6. No. E(D&A) 75 GSI-3 dt. 9-3-75 .
7. No. E(D&A) 76 GSI-2 dt. 30-4-76.

(ii) A railway servant who seeks the assistance of the Insolvency Court without the previous permission of the competent authority shall render himself liable to removal from service .

(iii) A railway servant who is arrested for debt is liable for dismissal.

(iv) Steps will be taken from time to time by the head of an office to ascertain from pay sheets, etc. whether any railway servant under him are in habitual state of indebtedness. If a moiety of the pay of a railway servant is being frequently attached for debit has been continuously so attached for a period exceeding two years or is attached for a sum which under ordinary circumstances he could not repay within two years, such railway servant shall be considered liable for dismissal.

(v) Every case falling under (iii) or (iv) shall be considered in the light of the instructions contained in clause (i) above before it is finally decided whether or not the railway servant concerned should be dismissed or removed but in exceptional circumstances such railway servant should not be retained in service.

(3) A railway servant shall also report to the Government or to such authorities as may be specified in this behalf the facts when a portion of his salary is constantly being attached, has been continuously attached for a period exceeding two years or is attached for a sum which, in ordinary circumstances, cannot be paid within a period of two years.

(4) When a moiety of a railway servant's salary is attached, the report by his superior officer to the Government competent authority should show what is the

proportion of the debts to the salary; how far they detract from the debtor's efficiency as a railway servant; whether the debtor's position is irretrievable; and whether in the circumstances of the case, it is desirable to retain him in the post occupied by him when the matter was brought to notice; or in any post under the Government.

18. Movable, immovable and valuable Property.---(1) (i) Every railway servant shall on his first appointment to the railway service submit a return of his assets and liabilities, in such form as may be prescribed by the Government, giving full particulars regarding—

- (a) the immovable property inherited by him, owned or acquired by him or held by him on lease or mortgage, either in his own name or in the name of any member of his family or in the name of any other person;
- (b) the shares, debentures and cash including bank deposits inherited by him or similarly owned, acquired, or held by him;
- (c) other movable property inherited by him or similarly owned, acquired or held by him ;
- (d) debts and other liabilities incurred by him directly or indirectly.

Note.1 —Sub-rule (1) shall not ordinarily apply to Group 'D' railway servants, but the Government may, in appropriate cases, direct that it shall apply to any of such railway servants or any class of such railway servants.

Note.2--- In every return, the values of items of movable property worth less than Rs. 10,000 may be added and shown as a lump sum. The values of articles of daily use such as clothing, utensils, crockery, books and the like, need not be included in such return.

Note.(3)(1) (i) --- Where a railway servant already belonging to a service or holding a Post is appointed to any other government or Railway service or post, he shall not be required to submit a fresh return under this clause.

(ii) Every railway servant belonging to any service or holding any post included in Group A or Group B shall submit an annual return in such form as may be prescribed by the Government in this regard giving full particulars regarding the immovable property the inherited by him or owned or acquired by him on held by him on lease or mortgage either in his own name or in the name of any member of his family or in the name of any other person.

(2) No railway servant shall, except with the previous knowledge of the Government acquire or dispose of any immovable property by lease, mortgage, purchase, sale, gift or otherwise either in his own name or in the name of any member of his family:

Provided that the previous sanction of the Government shall be obtained by the Railway servant if any such transaction is with a person having official dealings with him.

(3) Where a railway servant enters into a transaction in respect of movable property either in his own name or in the name of a member of his family, he shall,